

The Ultimate Guide to

Venture Capital Term Sheets

Investment Amount

The total capital the VC firm will invest in your startup. This defines how much money you'll receive and when.

Founder-Friendly

Minimum amount required for closing

Example: \$1M invested all at once at closing, giving you immediate access to capital

Investor-Friendly

Higher minimum with multiple closings

Example: \$1M split into tranches - \$500K at signing, \$500K when hitting specific milestones

Valuation

The estimated worth of your company before (pre-money) and after (post-money) the investment. This determines how much of your company you're selling.

Founder-Friendly

Higher pre-money valuation

Example: \$9M pre-money means \$1M investment buys 10% equity

Investor-Friendly

Lower pre-money valuation

Example: \$4M pre-money means \$1M investment buys 20% equity

Liquidation Preference

Determines how money is distributed in an exit (sale/IPO). This is crucial as it affects who gets paid first and how much.

Founder-Friendly

1X non-participating

Investors get their money back OR convert to common shares, whichever is higher (but not both)

Investor-Friendly

2X or higher, participating

Investors get 2X money back AND share in remaining proceeds as if they owned common stock

Anti-Dilution

Protects investors from future rounds at lower valuations (down rounds) by adjusting their conversion price.

Founder-Friendly

Broad-based weighted average

Moderate protection - conversion price adjusts based on size and price of down round

Investor-Friendly

Full ratchet

Aggressive protection - conversion price drops to match any lower price, regardless of round size

Board Composition

Defines who sits on your board of directors, controlling major company decisions and strategy.

Founder-Friendly

2-1 (2 founders, 1 investor)

Founders maintain board control with 2 seats vs 1 investor seat

Investor-Friendly

2-2-1 (2 founders, 2 investors, 1 independent)

Equal founder/investor representation plus tie-breaking independent director

Pro-rata Rights

Gives investors the right to maintain their ownership percentage in future funding rounds.

Founder-Friendly

Capped or time-limited

Rights expire after certain round or are limited to maintaining up to 10% ownership

Investor-Friendly

Uncapped and perpetual

Investors can maintain exact ownership percentage indefinitely

Founder Vesting

Schedule over which founders earn their equity, protecting both founders and investors if someone leaves early.

Founder-Friendly

Shorter vesting period (2-3 years)

25% vests immediately, remainder over 2 years

Investor-Friendly

Longer vesting period (4+ years)

1 year cliff, then monthly vesting over 4 years with no acceleration

Information Rights

Defines what company information investors receive and how often.

Founder-Friendly

Limited to major investors, quarterly

Quarterly financials and board updates to investors with >5% ownership

Investor-Friendly

Extensive, monthly reporting

Monthly detailed metrics, financials, and operations reports to all investors

Drag-Along Rights

Allows majority shareholders to force minority shareholders to join in the sale of the company.

Founder-Friendly

High threshold (e.g., 75% of preferred)

Need 75% of investors to agree before forcing a sale

Investor-Friendly

Lower threshold (e.g., 50% of preferred)

Only 50% of investors needed to force all shareholders to sell

Pay-to-Play Provision

Requires investors to participate in future funding rounds to maintain their preferential rights.

Founder-Friendly

No pay-to-play

Investors keep their rights regardless of participation in future rounds

Investor-Friendly

Strict pay-to-play enforced

Investors lose preferences if they don't invest their pro-rata in future rounds

⚠ Disclaimer: This cheat sheet provides a general overview of common VC term sheet provisions and is for informational purposes only. Terms may vary based on market conditions, deal specifics, and jurisdiction. Always consult with legal and financial advisors before making investment decisions or signing agreements